

NVIDIA Corporation

NVDA NASDAQ

Buy	\$225.16 ▼ 0.06%	12M Price Target \$260.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.45T
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NVDA: OpenAI Deal Restructure Cools Concentration Fears

WHAT HAPPENED

- NVDA "rowed back" on its \$250B OpenAI pledge — sounds bad but the stock is UP on the news. Translation: the market was actually worried about how much cash NVDA was committing to a single customer (concentration risk = putting too many eggs in one basket). Scaling that back is a de-risking event.
- Meanwhile they're putting \$1.5B into SB Energy for the OpenAI data center power supply — this is the story nobody's talking about: AI is now an ENERGY story as much as a chip story (see Energy ETF +7.67% over 5 days — that's not a coincidence).

WHY IT MATTERS

The OpenAI pledge walkback tells you NVDA management is being disciplined about circular financing (where you invest in your customer so they can buy your product — Wall Street was starting to raise eyebrows). That's a bullish governance signal. The bigger inference: the SB Energy investment confirms that POWER, not chips, is now the bottleneck for AI growth — which is why utilities and energy ETFs are ripping. If you're bullish NVDA, you almost have to be bullish nuclear and grid infrastructure too, because their customers literally can't turn on the GPUs without more electricity. Watch this — Congress is quietly moving on permitting reform that would unlock data center power buildouts, and that's arguably more important to NVDA's next leg up than any chip announcement.

POLICY & POLITICAL WATCH

Two policy levers to watch right now: (1) China export controls — the administration has been oscillating between allowing H2O chip sales to China (revenue tailwind) and tightening restrictions (headwind). Any hardening of the stance takes an estimated \$15-20B off the revenue line. (2) The AI infrastructure permitting reform push — bipartisan momentum to fast-track data center approvals and grid connections. If that passes, it accelerates NVDA's customer buildout cycle by 12-18 months. Also watch the CHIPS Act 2.0 chatter — extending domestic manufacturing subsidies helps NVDA's TSMC-Arizona supply chain.

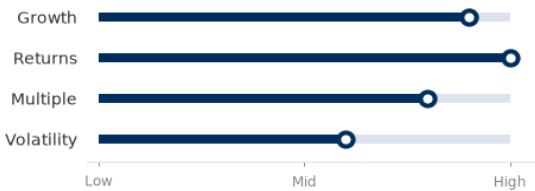
IS IT EXPENSIVE?

At \$5.45T market cap and roughly 38x forward earnings, you're paying \$38 for every \$1 of profit NVDA is expected to make next year — expensive on the surface, but earnings are growing 40%+ so the PEG ratio (price relative to growth) is actually reasonable around 1x. Compared to other mega-cap tech at 28-32x with slower growth, NVDA is arguably fairly priced, not stretched. The risk isn't the multiple — it's whether AI capex from hyperscalers holds up; if Meta/Google/Microsoft trim spending, the whole story reprices fast.

Key Data

Price (USD)	\$225.16
12M Price Target	\$260.00
Upside / (Downside)	+15.5%
Market Cap	\$5.45T
FY2027E Revenue	\$245M
FY2028E Revenue	\$310M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.40
Fwd P/E	38.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$230.00	\$210.00
6 Months	\$265.00	\$245.00	\$200.00
1 Year	\$300.00	\$260.00	\$190.00
2 Years	\$380.00	\$310.00	\$180.00
5 Years	\$550.00	\$400.00	\$200.00
10 Years	\$900.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+7.67% 5D) and Utilities — this is the AI power trade. Data centers need gigawatts and the market finally figured it out.

COOLING OFF: Materials slightly weak; no major sector in freefall — this is a broad risk-on tape.

ROTATION WATCH: Money is rotating INTO the "AI enablers" beyond just chips — power, cooling, grid, and nuclear. That's a tell that investors think the AI cycle has years left, not months.

RELATED PLAY: If you own NVDA, look at Vistra, Constellation Energy, or a nuclear-heavy utility ETF — they're the power picks-and-shovels play behind the picks-and-shovels play.

WHO'S WINNING IN THIS SPACE?

- MU (Micron): Just crossed \$1,000 — high-bandwidth memory is sold out through 2027, they're a direct beneficiary of every NVDA GPU shipped.
- Energy names broadly: Riding the AI power thesis with real earnings behind it now.

NVDA CONTEXT: NVDA is consolidating near highs while MU is ripping — that's actually healthy. It means the AI trade is broadening (money spreading to other names) rather than everyone crowded into NVDA. Historically when the ecosystem outperforms the leader, the leader catches up on the next earnings beat.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Pounding the table would be a 9, but at 84% of 52-week range I want a better entry. The fundamentals and policy setup are as good as they've been in months.

POSITION SIZE: 5-8% of portfolio. Big enough to matter, small enough that a 20% drawdown doesn't wreck you.

ENTRY POINTS: I'd add on any pullback to \$215 or below. Options flow shows big call buying at \$225 strike — smart money expects upside but there's also a \$225 put wall, meaning that level is a battleground.

TIME HORIZON: 12-24 months. Catalysts: next earnings, China policy clarity, and any AI permitting bill movement in Congress this fall.

WHEN TO BAIL: If a hyperscaler cuts capex guidance by more than 10%, or if China export controls tighten materially, or if the stock breaks \$195 on volume.

HEDGING: Simplest hedge — buy a put option that pays off if the stock drops below \$200 (think of it as insurance costing 1-2% of your position). Or just keep some cash on the sidelines to add on dips.